

POVERTY IN INDIA

1. Meaning of Poverty

Poverty refers to a condition where individuals lack sufficient resources, capabilities and opportunities required for a decent standard of living.

According to the **UN Human Rights Council**, poverty is a condition of sustained deprivation of resources, capabilities, choices, security and power necessary for enjoying an adequate standard of living.

Poverty has two major forms:

A. Absolute Poverty

- Based on **minimum basic needs** required for survival.
- A person is considered poor when basic necessities like food, shelter, health and education are not adequately available.
- Traditionally measured through minimum consumption expenditure and poverty line.
- India earlier used calorie norms:
 - Rural areas: **2400 calories/person/day**
 - Urban areas: **2100 calories/person/day**

B. Relative Poverty

- Related to the **standard of living compared with others in society**.
- A person may be relatively poor if income is much lower than the average income of the community.
- It reflects **income inequality**.

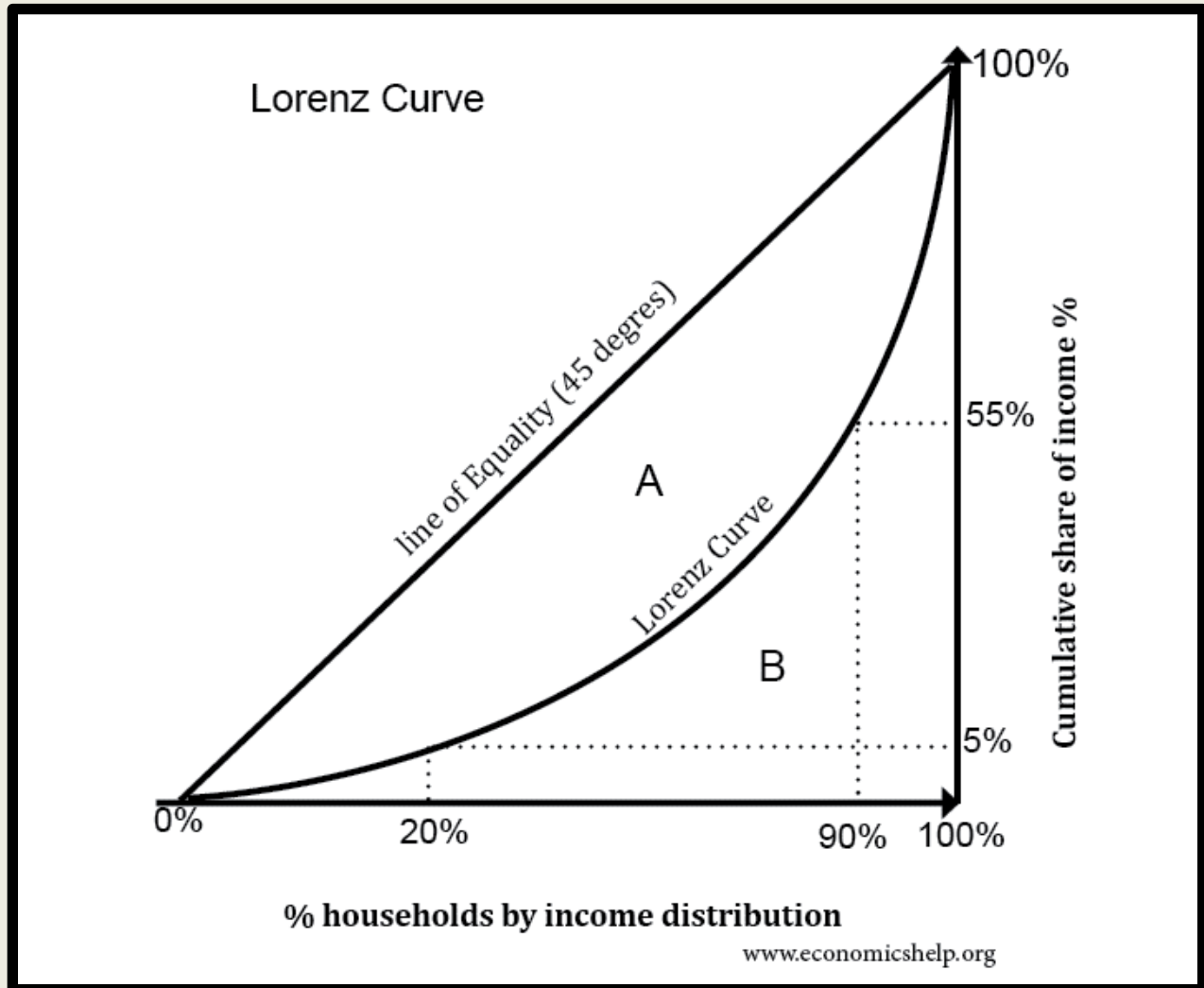
2. Lorenz Curve and Gini Coefficient

Lorenz Curve

- Developed by **Max Lorenz (1906)**.
- Shows the distribution of income among different sections of society.
- The 45° line represents perfect equality of income distribution.

Gini Coefficient

- Measures income inequality.
- Value ranges from:
 - 0 = Complete equality
 - 1 = Complete inequality



3. Causes of Poverty in India

1. Population Growth

- Rapid population growth increases pressure on resources, employment and consumption needs.

2. Low Agricultural Productivity

Reasons:

- Fragmented land holdings
- Traditional farming methods
- Lack of capital
- Poor technology adoption
- Storage losses

3. Unemployment

- Growth of population increases job seekers.
- Employment opportunities have not increased proportionately.

4. Low Economic Development

- Slow economic growth during the pre-1991 period contributed to poverty.

5. Inflation

- Rising prices reduce purchasing power of poor households.

6. Lack of Capital and Entrepreneurship

- Low investment reduces employment creation.

7. Social Factors

- Caste system
-
- Traditional practices
- Unequal opportunities
- Inheritance patterns

4. Poverty Line

Poverty Line is the minimum expenditure required to purchase goods and services necessary for basic human needs.

Important terms:

Poverty Line Basket (PLB)

- Collection of goods and services needed for basic living.

Poverty Ratio / Headcount Ratio (HCR)

- Percentage of population living below poverty line.

5. Poverty Estimation in India

India measures poverty mainly through **consumption expenditure**, not income.

Earlier estimation was based on NSSO consumer expenditure surveys.

Important Poverty Committees

Committee	Year	Major Contribution
Y.K. Alagh Committee	1979	First official poverty line; calorie-based approach
Lakdawala Committee	1993	State-specific poverty lines
Tendulkar Committee	2009	Included health, education, transport and electricity
Rangarajan Committee	2014	Revised poverty line with higher expenditure requirement

Tendulkar Committee

- Shifted from calorie-only approach.
- Included:
 - Health
 - Education
 - Transport
 - Electricity
- Estimated poverty at **21.5%** using its methodology.

Rangarajan Committee

- Estimated poverty at **29.5% in 2011-12**.
- Poverty line:
 - Rural: ₹972/month/person
 - Urban: ₹1407/month/person

6. Latest Poverty Data (Updated)

Multidimensional Poverty in India (NITI Aayog)

Multidimensional Poverty considers multiple disadvantages:

- Health
- Education
- Living standards

NITI Aayog estimates:

Year	Multidimensional Poverty Rate
2005-06	55.34%
2015-16	24.85%
2019-21	14.96%
2022-23 (Projected)	11.28%

Between 2013-14 and 202

2-23, around **24.82 crore people** were estimated to have escaped multidimensional poverty.

World Bank Poverty Data

Using international poverty measurement:

- Extreme poverty line: **\$2.15/day (2017 PPP)**
- India's extreme poverty declined from:
 - **16.2% (2011-12)**
 - to **2.3% (2022-23)**

Around **171 million people** moved above the extreme poverty line during this period.

7. Multidimensional Poverty Index (MPI)

Global MPI

- Developed by:
 - Oxford Poverty and Human Development Initiative (OPHI)
 - United Nations Development Programme (UNDP)

- Measures poverty beyond income.

India's National MPI

Developed by **NITI Aayog**.

Three major dimensions:

1. Health

Indicators:

- Nutrition
- Child mortality
- Maternal health

2. Education

Indicators:

- Years of schooling
- School attendance

3. Living Standards

Indicators:

- Cooking fuel
- Sanitation
- Drinking water
- Electricity
- Housing
- Assets
- Bank account

8. Poverty Alleviation Programmes

A. Employment Generation

MGNREGA (2005)

- Provides guaranteed employment for rural households.
- Ensures 100 days wage employment.

National Rural Livelihood Mission (NRLM)

- Promotes Self Help Groups.
- Provides livelihood opportunities.

PM Kaushal Vikas Yojana

- Skill development programme for youth.

B. Food and Housing**Pradhan Mantri Awas Yojana**

- Provides affordable housing.
- Has:
 - PMAY-Gramin
 - PMAY-Urban

Mid-Day Meal Scheme

- Improves nutrition among children.

Integrated Child Development Services (ICDS)

- Provides nutrition and health support.

C. Financial Inclusion**Pradhan Mantri Jan Dhan Yojana**

Objectives:

- Banking access for poor households
- Direct Benefit Transfer
- Financial inclusion

PM Kisan Samman Nidhi

- Provides financial assistance to farmers.

9. Challenges in Poverty Reduction

- Rural poverty remains higher than urban poverty.
- Inequality and unemployment continue.
- Schemes often suffer from:
 - Poor implementation
 - Overlapping programmes
 - Targeting problems